RETIREMENT OF A PARTNER

6.1 Introduction

Student activity 6.1

Think of any three reasons for a partner for leaving a partnership firm.

When a partner leaves from a partnership firm, it is known as retirement. The reasons for the retirement of a partner may be illness, old age, better opportunity elsewhere, disagreement with other partners, etc. On retirement of a partner, existing agreement comes to an end. The firm is reconstituted and other partners continue the partnership firm with a new agreement. A partner who retires from the firm is called an outgoing partner or a retiring partner.

Section 32(1) of The Indian Partnership Act, 1932 states that a partner may retire from the firm

(a) with the consent of all the other partners,

(b) in accordance with an express agreement by the partners, or

(c) where the partnership is at will, by giving notice in writing to all the other partners of his intention to retire.

The retiring partner is liable for all the acts of the firm up to the date of his retirement. It is necessary for the retiring partner to give a public notice of his retirement from the firm to get relieved from the liabilities to the third parties for the acts of the firm after the retirement. The remaining partners must settle the amount due to the retiring partner.

6.2 Adjustments required on retirement of a partner

On retirement of a partner, generally the mutual rights of the continuing partners change. The retiring partner is liable for all the acts which are carried out by the firm until the date of his retirement from the firm. Hence, the accumulated profits, losses and reserves upto the date of his retirement is to be distributed to all the partners. Assets and liabilities have to be revalued and the profit or loss on revaluation is to be distributed to all the partners. The following adjustments are necessary at the time of retirement of a partner:

(1) Distribution of accumulated profits, reserves and losses

(2) Revaluation of assets and liabilities

(3) Determination of new profit sharing ratio and gaining ratio

(4) Adjustment for goodwill

(5) Adjustment for current year's profit or loss upto the date of retirement

(6) Settlement of the amount due to the retiring partner

Tutorial note: All these adjustments are similar to the adjustments to be done on admission of a partner except determination of profit sharing ratio and settlement of the amount due to the retiring partner.

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